

Table 6.1. How a revolving line of credit works

Purchases	Payments	Available credit
\$0	\$0	\$1,000
\$200	\$0	\$800
\$0	\$200	\$1,000
\$100	\$0	\$900

Table 6.1 shows how the person’s available credit on a credit card with a \$1,000 limit “revolves” by going up and down. When the person uses their credit card for a purchase, the available credit goes down; when the person makes a payment, the available credit goes up (but only as far as the credit limit).

Credit cards are not the same as debit cards. A debit card is connected directly to your checking account, so when you use your debit card, your money is taken out of your account. These cards do not pose much of a risk, because if the money is not in your account, you will not be able to make the purchase. No big deal. A credit card, on the other hand, is loaning you money that you will need to pay back—and if you cannot pay off your balance in full, you will be charged high interest rates.

Ah, yes, our old friend: interest rates. If you remember from the discussion about student loans, even an interest rate of 5.8% can be a serious obstacle to overcome. In June 2020, the average interest rate for credit cards in the U.S. was 19.24%.²⁷ Even with a relatively small amount of debt, that interest rate can be a killer. Let’s apply that APR to the average amount of credit card debt

27 Ben Woolsey, “Average Credit Card Interest Rate—October Report,” Investopedia, accessed October 20, 2020, <https://www.investopedia.com/average-credit-card-interest-rate-5076674>.